NDIS Quality and Safeguards Commission

EXECUTIVE BRIEF

Executive: Branch Head, NCW
Executive action: For decision
PDMS cc: Catherine Myers

PDR: EC22-002103

PROPOSED BANNING ORDERS - PROJECT ARCHER

Recommendations	Executive Action
1. That you agree to sign and issue notices of intention to make a banning order under section 73ZN(1)(b)(iii) of the *National Disability Insurance Scheme Act 2013* (NDIS Act) in respect of Infinity Living Options Pty Ltd (Infinity) (**Attachment A**)	Signed
2. That you agree to sign and issue a notice of intention to make a banning order under sections 73ZN(1)(b)(i) and 73ZN(1)(b)(iii) of the NDIS Act in respect of Hybrid Hive Pty Ltd (Hybrid) (**Attachment B**).	Signed
3. That you agree to sign and issue notices of intention to make banning orders under section 73ZN(2A) of the NDIS Act in respect of:	
a. Exact Financial Solutions (PM) Pty Ltd (EFS) (**Attachment C**)	Signed
b. Sahar & Simon Pty Ltd (S&S) (**Attachment D**)	Signed
c. N-Able Perth Kids Rehab Centre Pty Ltd (N-Able) (**Attachment E**)	Not Signed
d. The Hive Pty Ltd (Hive) (**Attachment F**)	Signed
e. Malibuhouse Pty Ltd (Malibuhouse) (**Attachment G**)	Signed
4. That you agree to sign and issue a notice of intention to make a banning order under section 73ZN(2)(a)(iii) of the NDIS Act in respect of Mr Simon Reid (Mr Reid) (**Attachment H**).	Signed
5. That you agree to disclose Attachments A to H to the National Disability Insurance Agency under section 67A(3) of the NDIS Act.	Agreed

17/11/2022

X

Signed by: PH0055

Philip Halton, Branch Head, Operations - North Central West

Comments:

Allegations

1. It is alleged that Infinity, EFS, S&S, N-Able and Malibuhouse are not suitable to be involved in the provision of supports or services to people with disability on the basis that Ms Vida Reid (Ms Reid), a person who has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of each entity:

    1.1. Was charged and arrested on 19 October 2022, with the following offences:

    - Between 1 December 2021 and 17 May 2022 at Perth in the State of Western Australia, Ms Reid dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth).
    - That between 26 December 2021 and 23 June 2022 at Perth in the State of Western Australia, Ms Reid dealt with money or other property, it being reasonable to suspect that such money or other property was proceeds of crime and at the time of dealing the value of the money or property was more than $100,000, contrary to section 400.9(1) of the Criminal Code (Cth).
    - That between 30 November 2021 and 08 April 2022 at Perth in the State of Western Australia, Ms Reid caused payment requests to be submitted, which she knew to be false, to the National Disability Insurance Agency (NDIA), a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1 (3) of the Criminal Code (Cth).
    - That between 18 November 2021 and 19 April 2022 at Perth in the State of Western Australia, Ms Reid caused payment requests to be submitted, which she knew to be false, to the NDIA, a Commonwealth entity, with the intention of dishonestly causing a loss, contrary to section 135.1 (3) of the Criminal Code (Cth).

    1.2. Has engaged in conduct in contravention of section 73V of the NDIS Act and which presents risks to NDIS participants, in her role as Director and key personnel of Forward Focused Group Pty Ltd (FFG), currently subject of a suspension of its registration pursuant to section 73N of the NDIS Act.

2. It is further alleged that Infinity and EFS are not suitable to be involved in the provision of supports or services to people with disability on the basis that Mr Rejaul Alam (Mr Alam), a person who has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of each entity has engaged in conduct in contravention of the NDIS Code of Conduct and which presents risks to the NDIS participants.

3. It is alleged that Hybrid has failed to comply with section 73V of the NDIS Act, by failing to comply with the NDIS Code of Conduct.

4. It is alleged that Hive and Mr Reid are not suitable to be involved in the provision of supports or services to people with disability on the basis that Mr Reid, a person who has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of Hive:

    4.1. Has authority or responsibility for (or significant influence over) planning, directing or controlling the activities of Hybrid as a Director, an entity under which fraudulent claims for services were submitted to the NDIS; and

    4.2. Mr Reid is a joint signatory to the bank accounts of FFG and Hybrid, to which monies for fraudulent claims were paid.

Outline of evidence

Entity information:

5. Hive registered as a corporate entity on 17 June 2021. The sole director and shareholder is Mr Reid (**Attachment I – p1-2**).

6. Infinity was registered as a corporate entity on 1 June 2021 and it is noted that there is strike-off action in progress.

   6.1. The current directors are Ms Reid, Rejaul Alam (Mr Alam) and Huong Nguyen. The sole shareholder is Ms Reid (**Attachment I – p3-4**).

   6.2. Infinity has operated as an unregistered NDIS Provider, having between 5 August 2021 and 5 October 2021 submitted 21 claims via from plan managing agents (PMA) to a total value of $68,297. The claims were for short-term accommodation and assistance with self-care activities for 11 NDIS participants (**Attachment J** – **p10**).

7. Hybrid was registered as a corporate entity on 17 June 2021.

   7.1. The sole director and shareholder is Mr Reid (**Attachment I – p6-7**).

   7.2. The ultimate holding company of Hybrid is Hive (**Attachment I(a)**).

   7.3. Hybrid has operated as an unregistered NDIS Provider, having submitted payment claims via PMAs to a total value of $1,707,683 (**Attachment J** – **p3**).

8. EFS was registered as a corporate entity on 20 January 2022.

   8.1. The sole director is Ms Reid and shareholders are Ms Reid and Mr Alam (**Attachment I – p8-9**).

   8.2. The NDIS Commission does not hold evidence concerning the delivery of any NDIS supports or services by EFS.

9. S&S was registered as a corporate entity on 13 January 2022.

   9.1. The sole director is Ms Reid, secretary is Mr Reid and shareholders are Ms Reid and Mr Reid (**Attachment I – p10-11**).

   9.2. The NDIS Commission does not hold evidence concerning the delivery of any NDIS supports or services by S&S.

10. N-Able was registered as a corporate entity on 5 August 2021.

    10.1. The directors are Ms Reid, Mr Reid, Ravish Jois and Amanda Damon, who are also all shareholders (**Attachment I – p12-13**).

    10.2. The NDIS Commission does not hold evidence concerning the delivery of any NDIS supports or services by N-Able.

11. Malibuhouse was registered as a corporate entity on 13 July 2022.

    11.1. The directors are Ms Reid and Mr Reid who are also shareholders, along with Mr Alam. (**Attachment I – p14-15**).

    11.2. The NDIS Commission does not hold evidence concerning the delivery of any NDIS supports or services by Malibuhouse.

Conduct engaged in:

12. On 19 October 2022, Ms Reid was charged with four offences detailed on page 2 of this briefing (**Attachment K**).

    12.1. The statement of material facts (**Attachment L**) relevantly notes:

    - Between 26 November 2021 and 22 June 2022, Ms Reid and Mr Reid caused 81 false 'payment requests' to be submitted against the funding of two NDIS participants,

with the intention of dishonestly causing a loss to the Commonwealth. As a result of these claims, Ms Reid and Mr Reid received money reasonably suspected of being proceeds of crime to the sum of $247,484.78.

- Between 26 August 2022 and 21 September 2022, Zettai Pty Ltd trading as Assist Plan Managers submitted 11 separate reports of suspicious invoices submitted by FFG and Hybrid.
- Ms Reid encouraged an employee, Leah Norman to inflate the amount of time she spent coordinating support services for participants. Ms Norman alleges Ms could claim for residual funds left in a participants plan towards the end of the plan expiry. FFG and Hybrid are responsible for $1,485,527 in claims from expired plans. This represents 31% of total successful claims.
- Between 30 November 2021 and 10 May 2022, claims to a combined total of $127,475.30 were submitted by FFG and Hybrid against the NDIS plan of Ms Meghan Goodwin (Ms Goodwin). These amounts were paid into FFG and Hybrid accounts for which Mr and Ms Reid are the joint signatories. Ms Goodwin has provided evidence that she did not receive the services purportedly provided in these claims.
- Between 24 November 2021 and 22 June 2022, claims to a total combined value of $120,009.48 were submitted by FFG against the NDIS plan of Ms Sarah-Jane Clulow (Ms Clulow). These amounts were paid into FFG accounts for which the joint signatories are Mr Reid and Ms Reid. Ms Clulow has provided evidence that she did not receive the services purportedly provided in these claims.

12.2. Ms Reid is further subject to bail conditions, including a protective bail condition that she is not to communicate directly with any person who is considered to be a current or past recipient of services provided by Hybrid or FFG about the content of any evidence they may give, or be able to give, in the prosecution of these charges (**Attachment L(a)**).

13. Ms Reid has engaged in conduct, as identified within the briefing EC22-002000 (a briefing that you have previously considered and signed) and specifically attachments referenced in that briefing, that is in contravention of section 73V of the NDIS Act. The evidence relied upon to support this non-compliance includes that which is contained within that brief and therefore not repeated here.

14. In addition to the evidence set out in that briefing, the NDIA has provided witness statements to the NDIS Commission that confirms and corroborates information held and referenced within EC22-002000. A summary of this evidence is contained at **Attachment M** (pages 9-13) and substantive evidence contained at **Attachments N(1) to N(33)** identifies that Ms Reid and Mr Alam have engaged in the following conduct, in contravention of the NDIS Code of Conduct and which presents a range of risks to NDIS participants, including through exploitation and undermining their independence, choice and control:

14.1. NDIS Participants in most instances executed service agreements electronically with FFG. Signatures were then used without consent and applied to new services agreements that were not provided to NDIS participants or their nominees.

Further, MS REID changed plan management arrangements for NDIS participants without their consent, to support her interests, including where she had concerns about her relationship with existing plan managers. More specifically:

- Ms Norman alleges that if a participant engaged FFG and Ms Reid had an issue with their plan manager, she would ‘move those participants over to a [plan manager] that were more compliant, easier to deal with and wouldn’t question her invoices’;
- Ms Terri Roberts (Ms Roberts), former employee of FFG, alleges that MS Reid asked her and other staff members to copy and paste participants’ signatures over to service agreements and plan manager agreements. Ms Roberts adds that participants, were

then signed up to plan mangers without their consent with Ms Reid copying and pasting their signatures;

- In mid-2021, Barry MacDonald was provided a service agreement by FFG that contained a signature that is not his and that includes the signature of Ms Reid;
- The service agreement for Ziah O'Reilly was signed by Ms Norman and not by her nominee; and
- Service agreements for Levi Jetoh were signed without the knowledge or authority of his nominees, Ms Jerusha Jetoh and Mr Monbo Jetoh.

14.2. NDIS participants' plans were claimed against by other providers including Hybrid, without knowledge of any service delivery by both providers, nor with their consent. Ms Reid and Mr Alam engaged in this fraudulent conduct, including submitting inappropriate and false claims to the NDIA and plan managers for supports and services not provided to participants.

MS REID was central to this conduct, including in respect of responding to enquiries made by participants where concerning claim activities were identified. More specifically:

- The following NDIS participants NDIS participants entered into a service agreements with FFG. Claims were made by Hybrid against their NDIS plans, in circumstances in which the participants or their nominees had not executed a service agreement with Hybrid and where the claims had not been authorised by those NDIS participants or their nominees:
    - Mr Bassam Haidar (Mr Haidar);
    - Ms Amber Wilson (Ms Wilson), nominee for her children's NDIS plans;
    - Ms Gina Regali (Ms Regali), nominee for her children's NDIS plans;
    - Mr Hrimnir Benediktsson; and
    - Ms Jessica Harrison, nominee for child's NDIS plan.
- Ms Regali further raised concerns with Blake Sadler (Mr Sadler), a support coordinator employed by FFG, concerning invoices for services not delivered. Mr Sadler sent a text to Ms Regali stating FFG was 'changing the dates on the December Hive invoice'.
- Jessica Harrison further raised her concerns with Mr Sadler, who advised her that 'it was fine' and to tell her plan manger to pay the invoices. Mr Sadler also advised that he would find out why Hybrid was claiming against Charlie Harrison's plan, for which Mr Sadler did not provide any further information.
- NDIS participant Alexis Bott did not enter into a service agreement with FFG nor receive any services. When Ms Bott's plan manager raised concerns over claims made against her NDIS plan by FFG, Ms Bott spoke to Ms Reid who claimed that it was a clerical error.
- Ms Marish Cimafranca (Ms Cimafranca), nominee for NDIS participant Miah Cimafranca, entered into a service agreement with FFG. When Cimafranca questioned claims made for provider travel with Ms Reid, Ms Reidhad vised her she would 'fix it'.
- FFG submitted falsified claims against the NDIS plan of Yvonne Harrison (Ms Harrison) dated 8 February 2022 for $4,823 and $6,233.17 that were backdated to before Ms Harrison was a client of FFG and for services not delivered. Ms Harrison raised concerns with Ms Reid who advised her, she would deal with the invoices.
- Mr Alam inflated invoices for cleaning services provided to NDIS participant, Ms Susan Sheperd and when questioned by Ms Danica Hall (Ms D Hall), a former employee of FFG, Mr Alam lied to staff about the basis for inflating such invoices.

- FFG placed the names of staff members of invoices to support claims that services were delivered, including in circumstances in which staff named had ceased employment. For example, Sally See was included on multiple invoices alleging the delivery of services by her after she had ceased employment on 5 April 2022.
- Claims were fraudulently submitted by and paid to FFG and/or Hybrid for services not delivered, including in respect of:
    - The NDIS plans of Ms Wilson's children for capacity building and training in self-management and plan management and house cleaning and other household activities;
    - The NDIS plan of Ms Clulow, specifically:
        - Invoice 1217 for $3,127.50 which was questioned by Ms Clulow. MS REID advised there was an extra charge for tax, above the $2,470.00 amount Ms Clulow claims is the correct figure;
        - All claims for short term accommodation;
        - All claims by FFG for community access, house cleaning, assistance with self-care activities and community participation;
        - All claims for dates in which other providers had already claimed;
        - All claims for self-management building capacity;
        - All claims for psychology during March and April 2022, excluding one hour per week in March 2022;
        - Invoice 1146-1; and
        - Invoice 1375-1.
- The NDIS plan of NDIS participant, Seyed Yunus Hashimi, for services allegedly delivered whilst he was overseas;
- The NDIS plan of NDIS participant, Mr Andrew Hahn (Mr Hahn), for psychosocial counselling, assistance with self-care activities and capacity building and training in self-management and plan management; and
- The NDIS plan of NDIS participant, Ms Angela Cutler, for assistance with self-care, capacity building and training in self-management, assessment recommendation – other therapy and community access.

Particulars of further information that the Commission holds in respect of other NDIS participants and fraudulent claims for supports and services not delivered by FFG and/or Hybrid are:

NDIS Participant	Description of fraudulent claims
Barry MacDonald	Household cleaning and other household activities claimed to have been delivered between 1 May 2021 and 17 July 2021
Bassam Haidar	Claims for house cleaning, provider travel, access to community social and recreational, counselling, self-managed capacity building, short term accommodation or respite, assistance with self-care, assistance with decision making and low-cost AT – personal care and safety.

NDIS Participant	Description of fraudulent claims
Ziah O'Reilly	Claims for training in plan management and financial management, assessment recommendation – therapy and support coordination
Angelus Regali-Park **Indiana Regali-Park**	Claims for short term accommodation, self-management capacity building, support coordination and house cleaning and other household activities.
Hayden Trantham	Claims for assessment recommendation – therapy and/or training on 12 to 14 August 2022, counselling, psychosocial recovering coaching and provider travel.
Hrimnir Benediktsson	Claims for assistance with self-care activities, access community, social and rec activities.
Levi Jetoh	Claims for counselling, delivery of health supports by a registered nurse – weekday daytime for 25 to 26 May 2021
Charlie Harrison	Claims for self-management capacity building, psychosocial recovery coaching, counselling, assistance with self-care activities, specialised behavioural intervention support, assessment recommendation therapy and/or Training, skills development training, innovative community participation and support coordination.
Ben Dines	11 hours of household cleaning
Bekki Mulock	62 hours of household cleaning totalling $1,556.20 and $1,528.30, support coordination
Georgios Taraganis **Liz Odi**	250.8 hours of house cleaning between 15 September 2021 and 26 October 2021 totalling $12,590.16, 178.88 hours of house cleaning between 20 and 31 August 2021, self-management capacity building including invoices 124-1 and 125-1, establishment fee for personal care/participation including invoices 519-1 and 545-1, counselling including invoices 313 and 277-1, assistance with self-care activities including invoices 277-1 and 273 and self-management capacity building under invoice 396.
Miah Cimafranca	Claims for provider travel, assessment recommendation therapy and/or training and counselling.
Marisha Lombard	Claims for short term accommodation, access community, social and rec activities, counselling, psychology services and house and/or yard maintenance.
Meghan Goodwin	Claims for self-managed building capacity, house and yard maintenance.
Janine Craig	Claims for capacity building and training in self-management and plan management, assistance with decision making daily planning and budgeting skills, development and training and assessment recommendation therapy or training – counsellor.

NDIS Participant	Description of fraudulent claims
Paul Gilbert	Claims for skills development and training and support coordination.
Sarah-Jane Hammond	Claims for capacity building and training in self-management and plan management.
Yvonne Harrison	Claims for psychosocial recovery coaching, services claimed to have been delivered on weekends and public holidays, claims for all services prior to December 2021, claims for cleaning services, short term accommodation, employment support and more than 4 hours of assistance with self-care activities in any given day or by more than one person.

14.3. FFG and Hybrid, under Ms Reid's direction, provided false information to the NDIS to obtain new NDIS plans for participants, and claim remaining funds from expired plans, specifically:

- Invoices issued weekly against the NDIS plan of Ms Goodwin, for services not provided by FFG or Hybrid;
- Invoices were issued by Hybrid against the expired NDIS plan of Ms Harrison for alleged services occurring in March 2021. Ms Harrison commenced services with FFG in November 2021 and with Hybrid in March 2022;
- Ms D Hall alleges that Ms Reid and Mr Alam planned and fraudulently invoiced against the expired NDIS plan of Mr Haidar for counselling services not delivered, as well as for $54,254.92 of cleaning and support work not delivered to Mr Haidar;
- 14 invoices were issued by Hybrid against the expired NDIS plan of Ms Janine Craig for alleged services delivered but for which there was no record held by Hybrid;
- Ms Reid directed Ms D Hall to submit claims against the expired NDIS plan of Ms Clulow for services delivered on dates for which FFG had already submitted claims; and
- Ms Norman alleges that Ms Reid would engage in 'invoice bombing', meaning accessing expiring NDIS plans to submit invoices to claim remaining funds through plan management agencies.

14.4. Ms Reid and Mr Alam authorised payments of invoices generated by FFG and Hybrid on behalf of participants, without their consent. This resulted in NDIS participants' management of their NDIS plans being undermined and funds being exhausted without their knowledge. More specifically:

- FFG made claims for self-managed capacity building against the NDIS plan of Mr Haidar, services not delivered. In raising concerns about these claims with FFG and Ms Reid and Mr Alam advised he would authorise invoices on Mr Haidar's behalf, for which Mr Haidar did not provide consent;
- Ms D Hall raised concerns with Mr Alam concerning the validity of invoices raised, for which Mr Alam then took responsibility and issued;
- Ms Regali was advised by her plan manager that invoices for dates in January 2022 were accompanied by an email from Mr Alam stating 'we have been advised by the participants have approved the invoice'. Ms Regali confirmed that she had not authorised the invoices;
- Jessica Harrison is the only person with permission to authorise payments against the NDIS plan of Charlie Harrison. Jessica Harrison has not authorised claims made and paid

against Charlie Harrison's plan, including a claims by Infinity, an entity for which she has no knowledge; and

- Ms Clulow was contacted by Ms Reid who questioned Ms Clulow why she was authorising claims through the application 'Careview'. Ms Reid told Ms Clulow she should not be authorising invoices as she didn't 'have the capacity'. Ms Reid then asked for Ms Clulow's PIN number so she could access her Careview account to which Ms Clulow refused.

14.5. FFG staff under Ms Reid's direction, used aggressive marketing tactics to influence participants to engage in activities such as cruises, including misrepresentations of services provided and costs associated.

Further, FFG staff under Ms Reid's direction, engaged in aggressive claiming activities against the NDIS plans of NDIS participants, making inappropriate and falsified claims for supports and services not delivered. In circumstances in which NDIS plans of participants could no longer be inappropriately claimed against, FFG exited such participants from their services. Specifically:

- Ms D Hall, was instructed and pressured by Ms Reid to make phone calls to all participants concerning a river cruise for which $7,500 was to be charged against the NDIS plans of participants, including in circumstances in which participants had already declined. MS REID instructed Ms D Hall and other support coordinators to charge 15 minutes of support coordination for each phone call against NDIS plans of participants. Ms D Hall further considered this harassment of participants;
- Ms Janine Hall (Ms J Hall), a former employee of FFG, was also directed by MS REID to call NDIS participants to harass for attendance at a New Year's Eve cruise. If participants declined, they were placed on the list of another employee to be called. Ms D Hall was instructed by MS REID to 'bill' for these phone calls for support coordination, even if phone calls were unanswered;
- Ms D Hall states that she was trained to send invoices for services not provided, send invoices to claim funds from expired plans for services not provided and alter dates on invoices to claim from plans that had funding left in them;
- Ms D Hall alleges participants Andrew Hahn, Madeline Robinson, Suzanne Sheperd, Alexsis Bott, Corina Abraham and Ms Clulow were exited from FFG, when FFG was no longer able to inappropriately claim against their NDIS plans;
- Ms Norman was directed by MS REID to record more hours than the time actually required to provide support coordination, Ms Norman advises 'this was constant; she would call us dumb and tell us we're putting our jobs in jeopardy by not doing what we're told regarding the hours, and that we didn't understand how the NDIS worked';
- Ms Roberts alleges that MS REID inflated claims for short term accommodation with the amount charged to FFG being $240, but NDIS participants charged 1:1 Respite/STA $1775 per weekday;
- Ms Roberts further alleges MS REID directed support coordinators to 'bill participants at least 15 hours per day' and that once this had been achieved, staff would receive 50% of the charge as a bonus;
- Ms Wilson felt pressured by FFG, under direction of MS REID, into attending what was represented to her as 'free fun activities', including a flower arrangement course and a 'Beer and Beef Festival', despite her son being 13 years old. Despite declining, her children's plans were claimed against by FFG for those activities;

- Ms Wilson further received invoices from FFG for services after she had ceased services prior to December 2021. This included in respect of a 'Sea Dream Valentine's Day Cruise' that occurred on 13 February 2022;
- Ms Candice Yavarzadeh-Tehrani, nominee for NDIS participant, Ziah O'Reilly, received a phone call from FFG to identify if she wanted to engage FFG again, three months after ceasing services, who then issued her with an invoice of $150 for the phone call;
- FFG made claims against the NDIS plan of NDIS participant Ms Marish Lombard (Ms Lombard), a Valentine's Day cruise for which she did not attend and for which it was not communicated to Ms Lombard that her NDIS plan would be charged;
- Ms Lisa Mulock (Ms Mulock), nominee for Bekki Mulock, alleges she was harassed by MS REID and FFG, including phone repeated calls from MS REID as late as 10:00 pm at night. This included calls to attend cruises by a number of FFG staff. Ms Mulock blocked calls due to there being 'no professional boundaries'; and
- Ms Karen Marasigan (Ms Marasigan), Head of Compliance for Zettai Pty Ltd, trading as Assist Plan Managers, met with MS REID in January 2022 to discuss recurring issues with invoices submitted by Forward Focussed Group Pty Ltd, including:
    - Line items in newly submitted invoices were already claimed in previous invoices;
    - Invoices with item codes not matching with service booking item codes; and
    - Invoices rejected by client due to services not provided.

  During this meeting, MS REID agreed to cooperate to address the issues and attributed lack of training as a reason for the issues set out above.

14.6. MS REID frequently engaging in bullying, harassment and intimidation through both veiled and direct threats directed at NDIS participants and Forward Focused Group staff. This alleged conduct towards NDIS participants and staff have created an environment whereby NDIS participants and staff do not feel supported or safe to raise any concerns they have about the quality and safety of supports provided by FFG. Further, NDIS participants have felt threatened in exercising their independence and informed choice in relation to the supports provided. More specifically:

- Ms Wilson was contacted in December 2021 by MS REID who threatened to sue Ms Wilson for 'slander and unpaid invoices';
- Ms Clulow alleges that MS REID told her that her husband, Mr Read, was 'an ex-navy seal and he could make me disappear and I would never be found'. Ms Clulow further alleges that MS REID threatened to have 'her NDIS funding removed' and that Ms Clulow would need to 'pay everything back';
- Across May and June 2022, FFG attempted to obtain control of participant funds and participants supports for participant Alexsis Bott. When the participant confirmed, in writing that they didn't want to take the action to release their funds from the existing manager MS REID wrote "we will be terminating your services with us effective immediately";
- Series of emails 24 June 2022 to 19 June 2022 regarding participant Ms Clulow advising a four week notice for service termination. The emails show that Ms Clulow was seeking review of an invoice for services not received;
- On 1 July 2022, MS REID responded to an account statement from a supplier stating that, 'we will no longer pay any invoices for Sarah. She has terminated her contract with us';
- Series of emails 15 June 2022 to 19 June 2022 regarding NDIS participant, Ms Corina Abraham (Ms Abraham) ceasing some services with Hybrid. Ms Abraham sought to

meet to discuss their concerns. By email dated 19 June 2022, MS REID purports to cease support coordination and terminate the contract for all services with immediate effect. The email claims 'ongoing abusive manner of our staff by yourself and the break in trust' as the grounds. The email includes a perceived threat that invoices are to be paid immediately or be reported to the NDIS;

- Email 16 June 2022 sent by MS REID to Ms Abraham, provides that the support worker has a non-compete and non-disclosure contract which will prevent her for working privately for the participant. It also states that if the participant had 'come to us in good faith…I would have said okay'; and
- Email 16 June 2022 sent by you to participant, Ms Abraham, 'I would like all of your outstanding invoices paid immediately please or I will report this to the NDIS'.

Compliance advice

Proposed banning orders against providers

15. Section 73ZN(1)(b) of the NDIS Act relevantly provides that the Commissioner may, by written notice, make an order (a banning order) prohibiting or restricting specified activities by an NDIS provider, or by a person who was an NDIS provider, if the Commissioner reasonably believes that the person:
    - has contravened, is contravening, or is likely to contravene the NDIS Act; or
    - is not suitable to provide supports or services to people with disability, having regard to any matters prescribed by the National Disability Insurance Scheme rules for the purposes of this subparagraph.
16. Section 73ZN(2A) of the NDIS Act relevantly provides that the Commissioner may, by written notice, make an order (a ***banning order***) prohibiting or restricting a person from being involved in the provision of specified supports or specified services to people with disability if:
    - the Commissioner reasonably believes that the person is not suitable to be so involved, having regard to any matters prescribed by the National Disability Insurance Scheme rules for the purposes of this paragraph; and
    - the person has not previously been an NDIS provider; and
    - the person has not previously been employed or otherwise engaged by an NDIS provider; and
    - the person has not previously been a member of the key personnel of an NDIS provider.
17. As Branch Head NCW, you are delegated in accordance with the Instrument No.2 of 2022, to make decisions under section 73ZN of the NDIS Act.
18. It is considered that it is open to you to make banning orders in respect of each provider, on the basis that:
    18.1. Persons with responsibility and authority over the activities of each entity, and Hybrid itself, have engaged in conduct set out above and in contravention of the NDIS Act and which is contrary to the guiding principles and the objects of the NDIS Act, and in circumstances have deliberately undermined those principles. More specifically:
    - Ms Reid, Mr Alam and Mr Reid engaged in conduct and were responsible for the conduct of FFG and Hybrid staff, which limited NDIS participants from exercising their choice and control over their own supports and services, and acted without their consent or authorisation to make decisions about the engagement of supports and services under their NDIS plans. This conduct is serious, and has had significant impacts on the health and wellbeing of participants, particularly where deliberate conduct has been engaged in to subvert the authority of NDIS participants and their nominees;

- Ms Reid and Mr Alam have deliberately engaged in and directed FFG staff to engage in aggressive and dishonest conduct, including the submission of falsified claims for supports and services against NDIS plans, driving a culture of inflating claims and hours for services delivered, authorising payments without participant consent and entering into new service agreements without the knowledge or consent of NDIS participants and their nominees; and
- The conduct set out above and the offences for which Ms Reid has been charged, and Mr Alam and Mr Reid involved, presents significant risks to the financial sustainability of the NDIS, as well as to NDIS participants, as victims of fraud.

19. Further details of the proposed basis for these banning orders are contained in Attachments A to G.

20. Section 73ZN(7) requires the Commissioner to give the person an opportunity to make submissions to the Commissioner on the matter. The letters at Attachments A to G provide this opportunity.

    20.1. Please note that it is proposed that 14 days in provided for submissions to be provided.

    20.2. Further, as it is proposed that the notices of intention be issued by post to the relevant entities, a further 7 calendar days will be provided. As such, the due date should be 21 calendar days from the date of issue.

    20.3. In proposing this timeframe, it is considered that there are currently no identified immediate dangers to the health, safety or wellbeing of a person with disability that would provide to the exercise of the exception under section 73ZN(8)(a) of the NDIS Act.

21. Further, it is open to you to determine the period in which a banning order is in force. It is recommended be:

    21.1. For ten years in respect of each entity for which Ms Reid is associated, as a consistent and proportionate approach in accordance with the conduct identified in respect of Ms Reid;

    21.2. For five years in respect of Hive, as a consistent and proportionate approach in accordance with the conduct identified in respect of Mr Reid; and

    21.3. Permanent in respect of Hybrid, as a proportionate approach noting that it was used as a vehicle to facilitate significate fraud against the NDIS and to the detriment of NDIS participants.

22. Dependent on any new evidence obtained and/or a determination of a court, the banning orders may be varied or revoked.

23. It is considered that the recommended banning orders are consistent with the NDIS Commission's banning order policy. Particularly, the proposed actions seek to mitigate ongoing significant risk to people with disability and are preferred as other actions are not appropriate in the circumstances. For example, the nature of conduct is not conducive to remedial actions being preferred.

Proposed banning order against Mr Reid

24. Section 73ZN(2)(a)(iii) of the NDIS Act relevantly provides that the Commissioner may, by written notice, make an order (a banning order) prohibiting or restricting specified activities by a person, if the Commissioner reasonably believes that the person is not suitable to provide supports or services to people with disability.

25. It is considered that it is open to you to make banning orders in respect of Mr Reid, on the basis that:

    25.1. He is a person who is in a position of responsibility and authority over Hybrid, an entity for which significant fraud against the NDIS has occurred; and

25.2. He is a joint signatory to the bank accounts to which monies paid as a result of fraudulent claims submitted by FFG and Hybrid were paid, and has likely benefited as a result.

Further details of the proposed basis for this banning order is contained in Attachment H.

26. As noted above, section 73ZN(7) requires the Commissioner to give the person an opportunity to make submissions to the Commissioner on the matter. The letter at Attachment H provides this opportunity.

26.1. Please note that it is proposed that 14 days is provided for submissions to be provided.

26.2. Further, the notice of intention will be issued by email to the account lodged in Mr Reid's NDIS worker screening record. As such, the 14 days will commence from the date of issuance.

27. Further, it is open to you to determine the period in which a banning order is in force. It is recommended this be for five years. This time period has been proposed as a proportionate period and consistent with the proposed banning order for Hive.

28. Dependent on any new evidence obtained and/or a determination of a court, the banning orders may be varied or revoked.

29. It is considered that the recommended banning order is consistent with the NDIS Commission's banning order policy. Particularly, the proposed action seeks to mitigate ongoing significant risk to people with disability and are preferred as other actions are not appropriate in the circumstances. For example, the nature of conduct is not conducive to remedial actions being preferred.

Consultation

30. Legal Services Branch – Legal advice at **Attachment O.**

Risks and sensitivities

31. The evidence relied upon in this brief, draws upon statements obtained and provided by the NDIA in support of their criminal investigation and associated proceedings. The NDIA has noted to the Commission that it agrees for this evidence to be relied upon to inform proposed administrative decisions, however notes (**Attachment P**):

31.1. It is requested that any disclosure of evidence occur no sooner than 18 November 2022 to limit any impacts on investigation activities underway and that the NDIA is provided a copy of intended disclosure of evidence obtained; and

31.2. Consideration be given to any impacts on criminal proceedings. On this point, it is considered that there would not be any material impact noting any decision to disclose the basis for actions would be consistent with our obligations in respect of the Provider Register under section 73ZS of the NDIS Act.

32. It is therefore proposed that if you agree to issue and sign Attachments A to H, that you also disclose those documents in draft form to the NDIA in accordance with section 67A(3) of the NDIS Act, as the actions are of direct relevance to their ongoing investigation and proceedings against Ms Reid.

32.1. Section 67A(3) provides that the Commissioner or a Commission officer may disclose protected Commission information to the Agency or an Agency officer if the disclosure is for, or in connection with, the performance of the Agency's or CEO's functions or the exercise of the Agency's or CEO's powers.

32.2. The NDIA currently has an investigation ongoing into Ms Reid, Mr Reid and associated entities. Their investigation is in accordance with the functions of the NDIA under section 118(1)(b)(ii) of the NDIS Act which provides, *to manage, and to advise and report on, the financial sustainability of the National Disability Insurance Scheme including by identifying*

and managing risks and issues relevant to the financial sustainability of the National Disability Insurance Scheme.

32.3. It is proposed that disclosure be facilitated by email, to the A/Director Fraud Investigation, Mr Bruce Graydon.

33. Further, as the proposed actions have the impact of provider exit from the NDIS market, the Provider Exit Protocol has been actioned with the NDIA. Advice from the NDIA is that there are no risks associated with any entities expect Hybrid, on the basis that there is no evidence of any service delivery by those entities.

33.1. In respect of Hybrid, the risk assessment at **Attachment Q** has been provided which notes a medium risk. In accordance with the exit protocol, on the basis that you agree to issue notices of intention at Attachment A to G Stage 3 of the protocol will be actioned, being notice to the NDIA of the documents being issued and to support the NDIA in transitioning any affected participants.

Prepared by:
Matt Barr
Director, Compliance and NDIS Worker Screening